

# 1 Investments in associates



## Section overview

- An associate is an entity over which the investor has significant influence.
- There are a range of circumstances that evidence significant influence, however it can be presumed where the investor holds 20% to 50% of the voting rights.
- An associate is not part of the group.
- An investment in an associate should be accounted for in the consolidated financial statements using the equity method of accounting.

## 1.1 Introduction

In Chapters 10–12, we have seen that where a parent entity controls another entity it is said to have a subsidiary. The results of the parent and subsidiary are consolidated in the group accounts and presented as if it were a single entity.

However, investments can take a number of different forms. An investing entity may obtain a sufficient shareholding in another entity such that it has **significant influence** over it, without achieving control. This type of investment is referred to as an **associate** and is dealt with by IAS 28, Investments in Associates and Joint Ventures.

In the first part of this chapter, we will look at how to account for an associate.

## 1.2 Scope and definitions

IAS 28, Investments in Associates and Joint Ventures should be applied by any entity that has significant influence over an investee.



### Definitions

**Associate:** An entity over which the investor has significant influence.

**Significant influence:** The power to participate in financial and operating policy decisions of the investee but is not control or joint control over those policies.

### Notes

- 1 A holding of 20% or more of the voting power** in an investee (but less than the 51% which would usually create a parent/subsidiary relationship) **is presumed to provide** the investor with **significant influence**, while a holding of less than 20% is presumed not to do so. Both of these presumptions are rebuttable on the facts of the case.
- 2** It is possible for an investee to be the **associate of one investor** and **the subsidiary of another**, because one investor can have significant influence when another has control. A holder of more than 75% can do most things in a company, such as passing a special resolution, without paying much attention to the other shareholders, in which case an investor holding 20% is unlikely to have significant influence. It is always necessary to have regard to the facts of the case.
- 3 Significant influence is evidenced in a number of ways.** It is presumed in the case of a 20%–50% shareholding, but IAS 28 also states that significant influence can be shown by one or more of the following:
  - representation on the board of directors;

- participation in policy making decisions, including decisions about dividends;
  - material transactions between the investor and investee;
  - interchange of managerial personnel; and/or
  - provision of essential technical information.
- 4 Significant influence may be lost** in the same circumstances as a parent may lose control over a subsidiary.
- 5** In the Financial Accounting and Reporting exam, you should assume that a holding of **20% to 50%** of the **ordinary share capital** constitutes **significant influence**, unless there are facts given which clearly indicate otherwise.



#### Professional skills focus: Concluding, recommending and communicating

An exam question may require you to determine the accounting treatment for the different investments made by an investor – is each investment a subsidiary, associate, joint venture or simple trade investment? This will test your ability not only to apply the accounting requirements from several IFRS Standards, but also your ability to communicate your reasoning and to come to a conclusion on the appropriate treatment.

### 1.3 Equity method

IAS 28 requires that associates are accounted for using the **equity method**. Under the equity method:

- **Statement of financial position** – the investment in the associate is presented within non-current assets in the consolidated statement of financial position. It is **initially recognised at cost** and the carrying amount is then increased or decreased **by the investor's share in the post-acquisition change in the associate's net assets (retained profits less dividends) and any impairment losses**.
- **Statement of profit or loss and other comprehensive income** – the investor's share of post-acquisition profits/losses and OCI of the associate should be recognised as separate line items in the investor's consolidated statement of profit or loss and OCI.

The rationale for using the equity method is that it provides more useful information than would be provided by simply including the dividends received from the associate. Dividends received may bear little relation to the actual performance of the associate – after all, the distribution of dividends is discretionary. Instead, the equity method reflects the fact that the investor has **significant influence** over the associate, and therefore has an interest in the associate's performance.

**Note:** IAS 28 includes some limited situations in which the entity does not have to apply the equity method. These include the situation in which an entity is exempt from preparing consolidated financial statements under IFRS 10, or if the investor is a venture capital organisation. If the entity is a venture capital organisation, it can instead elect (on an investment by investment basis) to measure its investment in the associate at fair value through profit or loss in accordance with IFRS



#### Professional skills focus: Concluding, recommending and communicating

The proforma consolidated financial statements available in the spreadsheet response area in your exam DO NOT include line items for the investment in associates and share of profits of associates. If you are asked to prepare consolidated financial statements which include an associate, you will need to add additional line items to the proformas.

## 1.4 Loss of significant influence

Once significant influence is lost, the investee is no longer an associate and any remaining investment is a simple trade investment accounted for in accordance with IFRS 9. Any dividends received after significant influence is lost will be recognised in the investor's statement of profit or loss.

## 1.5 Equity method vs consolidation of a subsidiary

Some of the mechanics of consolidation are also applied to equity accounting. So:

- **Unrealised profits and losses on transactions between the investor and the associate should be eliminated** to the extent of the investor's share. Unrealised losses may indicate impairment of the transferred asset.
- There are provisions as to **reporting dates**, adjustments for material transactions when the dates do not coincide and **uniform accounting policies** which are the same as those for subsidiaries.
- Recognition of a share of an associate's losses should only result in the investor's interest being written down below nil (so as to become a liability) **if the investor has incurred obligations on behalf of the associate**. If the associate returns to profit, the investor's share of profits is recognised only after the share of profits equals the unrecognised share of losses.

The differences are that:

- **There is no cancellation of the investment** against the share of the associate's assets and liabilities at the date of acquisition. This is because there is no line-by-line addition to items in the statement of financial position of the investor's share of the associate's assets and liabilities. Such addition is appropriate under conditions of control, but not under those of significant influence.
- Instead, the investor's interest in the associate is shown in the statement of financial position, **as a single line** within non-current assets.
- **No separate goodwill is recognised** in respect of an associate; any goodwill is subsumed within the investment in associate, initially measured at cost.
- The **whole of the investor's interest in the associate is subjected to an impairment review** if there is an indicator of impairment.
- The **investor's interest in the associate's profit for the year less any impairment loss arising in the year** is recognised in its consolidated statement of profit or loss.

## 1.6 Investor's separate financial statements

Under IAS 27, the investment in the associate is carried **in the parent's separate statement of financial position** either:

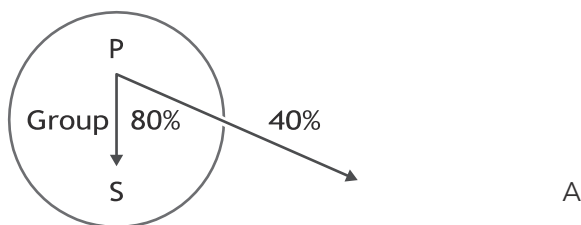
- at cost;
- in accordance with IFRS 9 (see Chapter 8); or
- using the equity method as described in IAS 28.

If the investment is carried at cost, the only income included in the investor's individual statement of profit or loss is the amount of dividends received from the associate.

**Note:** You should assume that an investment is carried at cost in the separate financial statements unless it is clearly stated otherwise.

## 1.7 Relationship with the group

An associate is **not part of the group** as a group comprises the parent and its subsidiaries only. In terms of the Financial Accounting and Reporting syllabus, the group investment in the associate is always held by the parent company, not a subsidiary:



## 1.8 Treatment in consolidated financial statements: accounting principles

An investment in an **associate** should be accounted for in the consolidated financial statements using the **equity method** of accounting. This method reflects the **substance** of the relationship between the entities rather than their **legal form**. The **group's share** of the associate's **profits, assets and liabilities** should be included in the consolidated financial statements rather than the cost of the investment and dividend income received.

# 2 Equity method: consolidated statement of financial position



### Section overview

- The investment in the associate should be shown as a single line entry within non-current assets in the consolidated statement of financial position.
- If the carrying amount of the investment has suffered an impairment it should be written down to its recoverable amount.

## 2.1 Basic principle

An associate should be accounted for in the consolidated financial statements as follows:

- The interest in the associate should be presented as a **single line** described as '**Investments in Associates**' within non-current assets.
- It should initially be recognised at **cost** and is subsequently adjusted in each period for the **group's share of the post-acquisition change in net assets** (post-acquisition profits and other comprehensive income (as adjusted for consolidation purposes) less any dividends paid by the associate to the investor and less any impairment losses incurred).
- The **group's share of the associate's post-acquisition retained earnings and other reserves** (as adjusted for consolidation purposes) should be included in consolidated retained earnings (as for a subsidiary).

**Note:** The assets and liabilities of the associate are **not** included on a line-by-line basis.

## 2.2 Calculation of carrying amount of investment in associate

The investment in the associate should be calculated as follows:

|                                                                                  | CU            |
|----------------------------------------------------------------------------------|---------------|
| Original cost (in P's accounts)                                                  | X             |
| Share of post-acquisition change in net assets (after consolidation adjustments) | <u>X</u><br>X |
| Less: Dividends paid from associate to parent                                    | (X)           |
| Less: Impairment losses to date                                                  | <u>(X)</u>    |
| <u>Carrying amount</u>                                                           | X             |

**Note:** If the investor has provided any **long-term loans** to the associate which are not expected to be repaid in the foreseeable future these should be **included as part of the investment in the associate**.

## 2.3 Initial cost of investment

The investment in the associate is initially recognised at **cost** (see section 2.1). This represents the **investor's share of the fair value of the net assets acquired plus goodwill arising on acquisition**. This goodwill is **not separately calculated or presented**, but instead **is included as part of the carrying amount of the investment**.

If, on the initial investment, the fair value of the net assets of the associate exceeds their carrying amount, the original cost of the investment will effectively have included a fair value uplift. In this case, additional depreciation on the fair value uplift is required:

- (a) the additional charge for the year is deducted from the share of the associate's profit or loss recognised in the consolidated statement of profit or loss; and
- (b) the cumulative additional depreciation is deducted from the carrying amount of the investment in associate in the consolidated statement of financial position.

## 2.4 Impairment losses

**Impairment tests** are performed in relation to the **investment as a whole**. If the investment has suffered an impairment it should be written down to its recoverable amount (see section 2.2).



### Worked example: Investment in associate

P Ltd acquired 30% of the ordinary share capital of A Ltd on 1 January 20X8 for CU275,000. At that date A Ltd had retained earnings of CU468,000. The fair value of its net assets was the same as the carrying amount apart from a building which had a fair value of CU725,000 and a carrying amount of CU500,000. The building had a remaining useful life of 30 years at 1 January 20X8. No fair value adjustment has been made in the books of A Ltd.

At 31 December 20X9 A Ltd had retained earnings of CU521,000. This was substantially below expectations and P Ltd intends to recognise an impairment loss of CU50,000 against the value of its investment in A Ltd.

### Requirement

Calculate the carrying amount of the 'investment in associate' for inclusion in the financial statements of P Ltd at 31 December 20X9?

**Solution**

|                                                                                               | CU                    |
|-----------------------------------------------------------------------------------------------|-----------------------|
| Cost of investment                                                                            | 275,000               |
| Share of post-acquisition increase in net assets $((521,000 - 468,000) \times 30\%)$          | 15,900                |
| Share of additional depreciation on FV uplift $((725,000 - 500,000) \times 2/30) \times 30\%$ | <u>(4,500)</u>        |
| Impairment loss                                                                               | <u>(50,000)</u>       |
| Investment in associate                                                                       | <u><u>236,400</u></u> |

## 2.5 Application of the equity method in the consolidated statement of financial position

To prepare the consolidated financial statements, any subsidiary(ies) needs to be consolidated using the approach covered in Chapters 10–12, and the associate needs to be accounted for using the equity method. The standard consolidation workings are then adapted for the equity method as follows:

|                                                             |                                                                                                                                                                                      |
|-------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Working 1: Group structure</b>                           | <ul style="list-style-type: none"> <li>• Include the associate in the group structure diagram.</li> </ul>                                                                            |
| <b>Working 5: Consolidated retained earnings (reserves)</b> | <ul style="list-style-type: none"> <li>• Include the group share of the associate's post-acquisition retained earnings.</li> <li>• Include any impairment losses to date.</li> </ul> |
| <b>Working 6: Investment in associate</b>                   | <ul style="list-style-type: none"> <li>• Cost of investment</li> <li>• plus share of post-acquisition change in net assets</li> <li>• less any impairment losses to date</li> </ul>  |

The **calculation of the carrying amount of the investment in the associate** will usually be **Working 6**.



### Interactive question 1: Equity method (CSFP)

P Ltd owns 80% of S Ltd and 40% of A Ltd. Statements of financial position of the three companies at 31 December 20X8 are as follows.

|                                     | P<br>CU                 | S<br>CU                 | A<br>CU                 |
|-------------------------------------|-------------------------|-------------------------|-------------------------|
| Investment: shares in S             | 800,000                 | -                       | -                       |
| Investment: shares in A             | 600,000                 | -                       | -                       |
| Sundry assets                       | <u>6,600,000</u>        | <u>5,800,000</u>        | <u>5,400,000</u>        |
|                                     | <u>8,000,000</u>        | <u>5,800,000</u>        | <u>5,400,000</u>        |
| Share capital – CU1 ordinary shares | 1,000,000               | 400,000                 | 800,000                 |
| Retained earnings                   | <u>4,000,000</u>        | <u>3,400,000</u>        | <u>3,600,000</u>        |
| Equity                              | 5,000,000               | 3,800,000               | 4,400,000               |
| Liabilities                         | <u>3,000,000</u>        | <u>2,000,000</u>        | <u>1,000,000</u>        |
|                                     | <u><u>8,000,000</u></u> | <u><u>5,800,000</u></u> | <u><u>5,400,000</u></u> |

P acquired its shares in S when S's retained earnings were CU520,000. The fair value of the identifiable assets acquired and liabilities assumed by P were equal to their carrying amounts at the date of acquisition. P measures non-controlling interests on the proportionate basis.

P acquired its shares in A when A's retained earnings were CU400,000. The fair value of the assets and liabilities of A were equal to their carrying amounts at the date of acquisition.

In 20X7 an impairment loss of CU20,000 was recognised in relation to the investment in A.

### Requirement

Prepare the consolidated statement of financial position at 31 December 20X8.

#### P Ltd: Consolidated statement of financial position as at 31 December 20X8

|                                                           | CU |
|-----------------------------------------------------------|----|
| Goodwill                                                  |    |
| Investments in associates Sundry assets                   |    |
|                                                           |    |
| Equity attributable to owners of the parent Share capital |    |
| Retained earnings                                         |    |
|                                                           |    |
| Non-controlling interests Total equity                    |    |
| Liabilities                                               |    |
|                                                           |    |

### WORKINGS

#### (1) Group structure

#### (2) Fair value of identifiable assets acquired and liabilities assumed

|                   | Year end<br>CU | Acquisition<br>CU | Post-acquisition<br>CU |
|-------------------|----------------|-------------------|------------------------|
| Share capital     |                |                   |                        |
| Retained earnings |                |                   |                        |

#### (3) Goodwill

| S Ltd                                                                            | CU |
|----------------------------------------------------------------------------------|----|
| Consideration transferred                                                        |    |
| Non-controlling interests at acquisition                                         |    |
| Fair value of identifiable assets acquired and liabilities assumed (W2) Goodwill |    |

**(4) Non-controlling interests**

CU

At acquisition

Share of post-acquisition

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**(5) Retained earnings**

CU

P Ltd S Ltd A Ltd

Impairment losses to date

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**(6) Investment in associate**

CU

Original cost

Share of post-acquisition retained earnings

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Impairment losses to date

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See **Answer** at the end of this chapter.



## 3 Equity method: consolidated statement of profit or loss and other comprehensive income



### Section overview

- Share of profit of associates should be presented as a single line entry in the consolidated statement of profit or loss.
- Share of other comprehensive income of associates should be presented as a single line entry in other comprehensive income.

### 3.1 Basic principle

The associate should be accounted for as follows:

- The **group's share of the associate's profit for the year** should be recognised in the consolidated statement of profit or loss as a **single line entry**.
- This should be disclosed **immediately before the group profit before tax** as '**Share of profit of associates**'.
- If the associate is acquired **mid-year** its results should be **time-apportioned**.
- The group's share of the associate's other comprehensive income (OCI) is reported as a separate line item in the OCI part of the statement of profit or loss and OCI.

#### Notes

- 1 It may seem odd to include an after-tax amount in arriving at the profit before tax, but this is in line with the Implementation Guidance to IAS 1, Presentation of Financial Statements.
- 2 The revenues and expenses of the associate should not be consolidated on a line-by-line basis.

### 3.2 Impairment review

Where an impairment review in the current period has resulted in an impairment loss to be **charged to profit or loss**, the loss should be **deducted from the parent's share of the profit for the year** of the associate (or added to the parent's share of the associate's loss for the year).

### 3.3 Fair value adjustment

Where the fair value of the assets and liabilities of the associate at acquisition exceeded their carrying amount, the original cost of the investment will effectively have included a fair value uplift. If the fair value of any of the associate's property, plant and equipment is subject to a fair value uplift, additional depreciation on the group share of the fair value uplift will be deducted from the group share of the associate's profit for the year in the consolidated statement of profit or loss.

### 3.4 Application of the equity method in the consolidated statement of profit or loss

An **additional working** will be required to calculate the parent's share of the associate's profit for the year.

**Note:** The consolidation schedule (Working 2) will only include the parent and any subsidiaries as the associate is **not** consolidated.



### Interactive question 2: Equity method (CSPL)

P Ltd has owned 80% of S Ltd and 40% of A Ltd for several years. Statements of profit or loss for the year ended 31 December 20X8 are as follows.

|                                     | P Ltd<br>CU  | S Ltd<br>CU | A Ltd<br>CU  |
|-------------------------------------|--------------|-------------|--------------|
| Revenue                             | 14,000       | 12,000      | 10,000       |
| Cost of sales                       | (9,000)      | (4,000)     | (3,000)      |
| Gross profit                        | 5,000        | 8,000       | 7,000        |
| Administrative expenses             | (2,000)      | (6,000)     | (3,000)      |
| Operating profit                    | 3,000        | 2,000       | 4,000        |
| Investment income (not intra-group) | 1,000        |             | 400          |
| Profit before tax                   | 4,000        | 2,000       | 4,400        |
| Income tax expense                  | (1,000)      | (1,200)     | (2,000)      |
| Profit for the year                 | <u>3,000</u> | <u>800</u>  | <u>2,400</u> |

An impairment loss of CU120 is to be recognised in 20X8 in relation to the investment in A Ltd.

#### Requirement

Prepare the consolidated statement of profit or loss for the year ended 31 December 20X8.

#### P Ltd: Consolidated statement of profit or loss for the year ending 31 December 20X8

|                                    | CU |
|------------------------------------|----|
| Revenue (W2)                       |    |
| Cost of sales (W2)                 |    |
| Gross profit                       |    |
| Administrative expenses (W2)       |    |
| Operating profit                   |    |
| Finance income (W2)                |    |
| Share of profit of associates (W4) |    |
| Profit before tax                  |    |
| Income tax expense (W2)            |    |
| Profit for the year                |    |
| Profit attributable to:            |    |
| Owners of P Ltd (balancing figure) |    |
| Non-controlling interest (W3)      |    |

#### WORKINGS

##### (1) Group structure

(2) Consolidation schedule

|                   | P Ltd | S Ltd | Adjustments | Consolidated |
|-------------------|-------|-------|-------------|--------------|
|                   | CU    | CU    | CU          | CU           |
| Revenue           |       |       |             |              |
| Cost of sales     |       |       |             |              |
| Admin expenses    |       |       |             |              |
| Investment income |       |       |             |              |
| Tax               |       |       |             |              |

(3) Non-controlling interest

CU  
S Ltd

(4) Share of profits of associate

CU  
A Ltd

See **Answer** at the end of this chapter.

## 4 Associate's losses



### Section overview

- Losses recognised in respect of the associate should be limited to the carrying amount of the associate.

### 4.1 Accounting treatment

Where an associate makes a loss the following treatment should be adopted:

|                                                     |                                                                                                                                                |
|-----------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Consolidated statement of financial position</b> | The group's share of the loss should be recognised as a reduction in the carrying amount of the investment in associate, to a minimum of zero. |
| <b>Consolidated statement of profit or loss</b>     | The group share of the associate's loss for the year should be recognised.                                                                     |

**Note:** Once the carrying amount of the investment in the associate has been **reduced to zero, no further losses should be recognised by the group**. The investor is only required to make a provision for any additional losses incurred by the associate to the extent that the investor has a legal or constructive obligation to make good these amounts. When the associate returns to profit, the investor's share of that profit is not realised until it equals the amount of unrecognised losses.



### Context example: Associate's losses

At 31 December 20X6, the carrying amount of P Ltd's 40% interest in A Ltd is CU600,000. In the year ended 31 December 20X7 A Ltd makes a loss for the year of CU2,000,000.

The associate should be recognised in the consolidated financial statements at 31 December 20X7 as follows:

|                                      | Consolidated<br>statement of profit<br>or loss | Consolidated<br>statement of<br>financial position |
|--------------------------------------|------------------------------------------------|----------------------------------------------------|
| P's share of the associate's loss    | CU                                             | CU                                                 |
| 40% × CU2,000,000 = CU800,000 (Note) | (600,000)                                      | Nil                                                |

**Note:** The loss recognised should be limited to the carrying amount of the investment ie, CU600,000. The carrying amount of the investment in the associate cannot fall below zero.

## 5 Transactions between a group and its associate



### Section overview

- Transactions between the group and its associates should not be cancelled on consolidation.
- An adjustment is required for any unrealised profit.

### 5.1 Basic principle

As discussed previously, an associate is **not** part of the group. This means that while the single entity concept applies to the parent and subsidiaries it does not apply to any associates. One of the consequences of this is that transactions between a group member and an associate should **not** be cancelled on consolidation.

### 5.2 Trading transactions

Trading transactions should **not be cancelled on consolidation**.

|                                              |                                                                                                                                                                                                                                        |
|----------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Consolidated statement of profit or loss     | <b>No adjustment should be made</b> to revenue or cost of sales for transactions between the group and the associate.                                                                                                                  |
| Consolidated statement of financial position | <b>Receivables and payables balances</b> due from/to the associate in the individual statement of financial position of the parent or its subsidiaries should be carried across into the consolidated statement of financial position. |

**Note:** In the consolidated statement of financial position balances relating to loans and trading balances between the group and the associate should be shown separately.

## 5.3 Unrealised profits

While transactions between the group and the associate are not cancelled on consolidation, any **unrealised profit on these transactions should be eliminated**. In this respect the principle applied is similar to that applied to a subsidiary (see Chapters 11 and 12).

The key difference is that only the **investor's share** of the unrealised profit should be eliminated, because only this share of the associate's net assets and profit for the year is brought into the consolidated financial statements.

### Notes

- 1 Unrealised profit could also arise on transactions between a subsidiary and an associate, but the Financial Accounting and Reporting exam will only test unrealised profit arising from transactions between the parent and an associate.
- 2 Only transactions that give rise to unrealised profits are covered in Financial Accounting and Reporting. Transactions that give rise to losses are an indicator that the asset being transferred may be impaired.



### Context example: Unrealised profits

P Ltd has a 25% holding in A Ltd. A Ltd sells goods to P Ltd for CU100,000, applying a mark-up of 30%. All of the goods remain in inventory at the year-end.

A Ltd made a profit on the sale of CU23,076 on the sale ( $\text{CU}100,000 \times 30/130$ ). 75% of this profit relates to interests held by other investors, therefore only CU5,769 ( $\text{CU}23,076 \times 25\%$ ) of the unrealised profit (that part which belongs to the group) should be eliminated.

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The adjustment is made in the **accounts of the seller**. The way that the adjustment is made depends on whether the selling company is the investor or the associate.

### Notes

- 1 Unrealised profit will only arise if the goods transferred **are still held by the investor or associate**. If the goods have been sold to a **third party**, there is **no unrealised profit**.
- 2 Unrealised profit adjustments apply to the **transfer of non-current assets** as well as the transfer of goods.

### 5.3.1 Investor (parent) sells goods to the associate Consolidated statement of financial position:

- Reduce Parent's **retained earnings by its share of the unrealised profit**.
- Reduce the **carrying amount of the investment in Associate by Parent's share of the unrealised profit**.

**Note:** The carrying amount of the investment in associate is adjusted rather than inventory as the inventory of the associate is **not consolidated**.

### Consolidated statement of profit or loss:

- Increase Parent's cost of sales **by its share of the unrealised profit**.

**Note:** This adjustment **reduces group profit by its share of the unrealised profit**.



### Interactive question 3: Unrealised profits (P → A)

P Ltd owns 35% of A Ltd. During the current financial year P Ltd sold goods to A Ltd for CU300,000 on which its gross margin was 40%. A Ltd held CU50,000 of these goods in its inventories at the year end.

### Requirement

Show the journal entries necessary to adjust for the PURP in P Ltd's consolidated statement of financial position and describe the adjustment necessary to P Ltd's consolidated statement of profit or loss.

Fill in the proforma below.

#### Consolidated statement of financial position journal

|    | CU | CU |
|----|----|----|
| DR |    |    |
| CR |    |    |

See **Answer** at the end of this chapter.

### 5.3.2 Associate sells goods to the investor (parent) Consolidated statement of financial position

- Reduce Parent's share of Associate's retained earnings by its share of the unrealised profit.
- Reduce Parent's inventory on consolidation by its share of the unrealised profit.

**Note:** The effect on retained earnings is dealt with by **deducting the group share of the unrealised profit from the group retained earnings** and from **group inventory**.

#### Consolidated statement of profit or loss

- Reduce Parent's share of Associate's profit for the year by its share of the unrealised profit.



#### Interactive question 4: Unrealised profits (A → P)

Assume the same facts as in Interactive Question 3 except that A Ltd is the seller and P Ltd holds the CU50,000 goods in inventory.

#### Requirements

- 4.1 Show the journal entries to adjust for the PURP in P Ltd's consolidated statement of financial position.
- 4.2 If A Ltd has a profit for the year of CU75,000, calculate the group's share of the associate's profit for the year for inclusion in the consolidated statement of profit or loss.

See **Answer** at the end of this chapter.



#### Professional skills focus: Assimilating and using information

The **details** of a group question scenario in your exam are very important. Intra-group trading with an associate is not eliminated, but intra-group trading with a subsidiary is eliminated. Read the question carefully to make sure you identify which entities are doing the trading and therefore what adjustments you must make.



### Professional skills focus: Assimilating and using information

The direction of any sale between a parent and an associate is important when adjusting for unrealised profits. Read the question carefully to understand whether it is a downstream (parent to associate) sale or an upstream (associate to parent) sale and prepare the adjusting journal entry accordingly.

## 5.4 Dividends

**Dividend income** from the associate should **not be recorded in the consolidated statement of profit or loss**. This is because, under the equity method, the group's share of the associate's profit for the year and increase in retained earnings has already been recognised. Dividends are paid out of retained earnings, therefore if the dividend income was also recognised, the same profits would be **recognised twice**.

In the statement of financial position, the investment in the associate will be recognised as the cost of the investment plus the group share of the post-acquisition profits of the associate, less any dividends received.



### Context example: Investment in associate and dividends

On 1 January 20X4 P acquired 30% of the share capital of A for CU75,000. During the year to 31 December 20X4 A made a profit for the year of CU30,000 and paid dividends totalling CU12,000.

The carrying amount of the investment in associate will be calculated as:

|                                                                              | CU             |
|------------------------------------------------------------------------------|----------------|
| Cost of investment                                                           | 75,000         |
| Group share of post-acquisition profit for the year ( $30,000 \times 30\%$ ) | 9,000          |
| Less dividend received ( $12,000 \times 30\%$ )                              | <u>(3,600)</u> |
|                                                                              | <u>80,400</u>  |

Or:

|                                                                                         | CU            |
|-----------------------------------------------------------------------------------------|---------------|
| Cost of investment                                                                      | 75,000        |
| Group share of post-acquisition retained earnings ( $((30,000 - 12,000) \times 30\%)$ ) | <u>5,400</u>  |
|                                                                                         | <u>80,400</u> |

## 6 IFRS 11, Joint Arrangements



### Section overview

- IFRS 11 classifies joint arrangements as either **joint operations** or **joint ventures**.
- There must be a **contractual arrangement** for a joint arrangement to exist.

## 6.1 What is a joint arrangement?



### Definitions

**Joint arrangement:** An arrangement in which two or more parties have joint control.

**Joint control:** The contractually agreed sharing of control over an arrangement, which exists only when the decisions about the relevant activities require the unanimous consent of the parties sharing control.

The key characteristics of a joint arrangement are:

- a contractual agreement
- unanimous consent of the parties sharing control to make decisions about relevant activities



### Definition

**Party to a joint arrangement:** An entity that participates in a joint arrangement, regardless of whether that entity has control of the arrangement.

## 6.2 Context

Entities often operate together as strategic alliances to overcome commercial barriers or share risks. These alliances are often contractually structured as joint arrangements. The objective of a joint arrangement may be to carry out a one-off project, to focus on one area of operations or to develop new products jointly for a new market.

There are many factors critical to the success of joint arrangements, the most important being the relationship between the parties. It is essential that all contractual terms and arrangements are agreed in advance including the process for resolving disputes.

The different joint arrangement structures available provide challenges for financial reporting. The unique risks of joint arrangements need to be readily apparent to users of financial statements, since their financial and operational risks may be substantially different from those of other members of the reporting group.

## 6.3 Types of joint arrangement

IFRS 11, Joint Arrangements identifies two types of joint arrangement:

- joint operations
- joint ventures

Only joint ventures are included in the Financial Accounting and Reporting syllabus.

# 7 Joint ventures



### Section overview

- Joint ventures are separate legal entities, so they must prepare their own financial statements.
- Equity accounting should be applied in the consolidated financial statements of the joint venturer to reflect the share of profits and share of post-acquisition net assets of the joint venture.
- The equity method of accounting is the same as that used for accounting for associates in accordance with IAS 28, Investments in Associates and Joint Ventures.



## 7.1 What is a joint venture?

This is a joint arrangement whereby the parties that have joint control have **rights to the net assets** of the arrangement.

Joint ventures are always set up as a **separate legal entity**.

This separate entity may be:

- a company
- a partnership

As a separate legal entity, the joint venture can enter into contracts and raise finance in its own name. It will maintain its own accounting records and prepare its own financial statements. The joint venture will own its own assets, incur its own liabilities, incur its own expenses and earn its own income.

Normally, each joint venturer will be entitled to a pre-determined share of the profits made by the joint venture.

An investor may be a party to a joint arrangement but may not have joint control. If the investor has significant influence, it should account for the investment as an associate, in accordance with IAS 28. If it does not have significant influence it should account for it as a financial asset in accordance with IFRS 9.



### Worked example: Joint venturers and investors

An entity is established to build a sports stadium for a customer. Once the stadium is built, the entity will be wound up.

Eight contractors invest in the equity of the entity. Contractors 1 to 5 own 14% each and contractors 6 to 8 own 10% each. There is a contractual arrangement whereby all relevant decisions are taken unanimously by contractors 1, 2, 3 and 8.

### Requirement

Do these arrangements give rise to a joint venture? If so, who are the venturers and who are the investors?

### Solution

The contractual agreement provides for joint control. All of the contractors are parties to the joint arrangement, however the parties to the contractual agreement are only Contractors 1, 2, 3 and 8. Between them they own 52% ( $(3 \times 14\%) + 10\%$ ) of the entity and the contractual agreement requires that any decisions require all of their agreement, so resulting in unanimous consent. Contractors 1, 2, 3 and 8 therefore have joint control over the entity. The joint arrangement is a separate legal entity and therefore it is a joint venture in which Contractors 1, 2, 3 and 8 are joint venturers.

The other contractors are not involved in the contractual arrangement and therefore are parties to the joint venture but not joint venturers.



### Professional skills focus: Applying judgement

It is not always straightforward to determine the accounting for an investment, as this example indicates. Contractual arrangements between entities can be extremely complex. An accountant must use their professional judgement to apply the requirements of the accounting standards to the particular scenario they are facing.

A **contractual arrangement** will usually be in writing either as a formal document or in the form of minutes from a meeting. It will normally cover the purpose of the joint venture, its expected duration, any financial reporting requirements, appointments to the managing committee, voting rights, capital contributions, procedures for running the day to day operations and how expenses and income are to be shared.

## 7.2 Accounting for joint ventures

IFRS 11 requires each venturer in a joint venture to recognise in its **consolidated financial statements**

its share of the venture using the **equity method of accounting**.

## 7.3 Investor's separate financial statements

In the investor's separate financial statements the investment in the joint venture should be carried:

- at cost;
- in accordance with IFRS 9; or
- using the equity method as in IAS 28.

If the investment is carried at cost, the only income included in the investor's individual statement of profit or loss is the amount of dividends received from the joint venture.

## 7.4 Equity method of accounting

You have used the equity method of accounting when accounting for associates under IAS 28.

Under the equity method:

- The investment in the joint venture is initially recorded at cost.
- There are adjustments each period for the venturer's share of the post-acquisition reserves of the joint venture, less any impairment losses. Profits are added to the investment and losses deducted.
- In the venturer's consolidated **statement of financial position** the investment in the joint venture is shown as a single line figure as part of non-current assets.
- In the venturer's consolidated **statement of profit or loss** there is a single line for the share of the joint venture's profit for the year.
- The group share of the joint venture's other comprehensive income will be included in the other comprehensive income section of the consolidated statement of profit or loss and other comprehensive income.



### Worked example: Joint venture

P controls a number of subsidiaries and therefore prepares consolidated financial statements.

P is also a joint venturer in JV, a joint venture in which P owns 25%. P acquired its share of JV at a cost of CU1 million on the creation of JV. At that time JV had net assets of CU4 million.

A summarised draft statement of financial position of the P Group (P and its subsidiaries, but not its interest in JV), and JV is as follows:

|                               | P Group<br>CUm | JV<br>CUm |
|-------------------------------|----------------|-----------|
| Non-current assets            |                |           |
| Property, plant and equipment | 60             | 20        |

|                     |            |           |
|---------------------|------------|-----------|
| Intangible assets   | 30         | 8         |
| Investment in JV    | 1          | 0         |
| Current assets      |            |           |
| Inventories         | 50         | 16        |
| Other               | 80         | 24        |
| Current liabilities | (90)       | (36)      |
|                     | <u>131</u> | <u>32</u> |

### Equity

The equity in P Group plus JV can be calculated as:

|                                              |            |
|----------------------------------------------|------------|
|                                              | <b>CUm</b> |
| P Group                                      | 131        |
| JV post-acquisition $((32 - 4) \times 25\%)$ | 7          |
|                                              | <u>138</u> |

### Requirement

Using the equity method, prepare the P Group consolidated statement of financial position including JV.

### Solution

|                                                                                    |            |
|------------------------------------------------------------------------------------|------------|
|                                                                                    | <b>CUm</b> |
| Non-current assets                                                                 |            |
| Property, plant and equipment                                                      | 60         |
| Intangible assets                                                                  | 30         |
| Investment in JV (cost CU1m plus $25\% \times$ increase net assets (CU32m - CU4m)) | 8          |
|                                                                                    | <u>98</u>  |
| Current assets                                                                     |            |
| Inventories                                                                        | 50         |
| Other                                                                              | 80         |
|                                                                                    | <u>228</u> |
| Equity and liabilities                                                             |            |
| Equity                                                                             | 138        |
| Current liabilities                                                                | 90         |
|                                                                                    | <u>228</u> |

## 7.5 Transactions between a venturer and the joint venture

An adjustment is required for any **unrealised profit** on a transaction between a venturer and its joint venture. The treatment is consistent with that covered above for associates.

### 7.5.1 Venturer to joint venture

If a venturer sells goods or a non-current asset to the joint venture at a profit and the goods or non-current asset are still held by the joint venture at the year end:

- investment in joint venture is reduced by the share of unrealised profit; and
- group profit is reduced (by increasing cost of sales for a transfer of goods or reducing other income/increasing expenses for a transfer of assets) to remove the unrealised profit. Retained earnings of the venturer is in turn reduced by its share of the unrealised profit.

**Note:** As for associates above, if the transaction gives rise to a loss, it may be an indicator that the asset being transferred is impaired.

### 7.5.2 Joint venture to venturer

If the joint venture sells goods or a non-current asset to the venturer at a profit and these are still held by the venture at the year end:

- inventories or carrying amount of non-current asset is reduced by the share of unrealised profit;
- investment in joint venture is reduced by the share of unrealised profit; and
- share of joint venture profit for the year is reduced by the share of unrealised profit.

## 7.6 Receivables and payables

If there are receivables or payables outstanding between a joint venture and the venturer the outstanding balances between the venturer and the joint venture should **not** be eliminated.



### Interactive question 5: Joint venture

Bodmas plc acquired 30% of the equity capital of a joint venture, Matrix Ltd, in 20X2 when the retained earnings of Matrix Ltd were CU120 million. It is currently preparing its financial statements for the year ending 31 December 20X5.

The summary statements of financial position for Bodmas plc and Matrix Ltd at 31 December 20X5 were as follows.

|                               | Bodmas plc<br>CUm | Matrix Ltd<br>CUm |
|-------------------------------|-------------------|-------------------|
| Property, plant and equipment | 820               | 320               |
| Investment in Matrix Ltd      | 100               | -                 |
| Current assets                | 240               | 160               |
| Loan to Matrix                | 60                |                   |
|                               | 1,220             | 480               |
| Share capital (CU1 shares)    | 780               | 100               |
| Retained earnings             | 440               | 320               |
| Loan from Bodmas plc          |                   | 60                |
|                               | 1,220             | 480               |

### Requirement

Prepare the summarised consolidated statement of financial position of Bodmas plc at 31 December 20X5 using the equity method in accordance with IAS 28, Investments in Associates and Joint Ventures.

## Consolidated statement of financial position as at 31 December 20X5

CUm

Non-current assets

Property, plant and equipment Investment in JV

Current assets

Loan Other

Total assets

Equity

Share capital Retained earnings

Total equity

See **Answer** at the end of this chapter.

## 8 IFRS 12, Disclosure of Interests in Other Entities



### Section overview

- IFRS 12 sets out the disclosure requirements for associates and joint ventures.

### 8.1 Significant judgements and assumptions

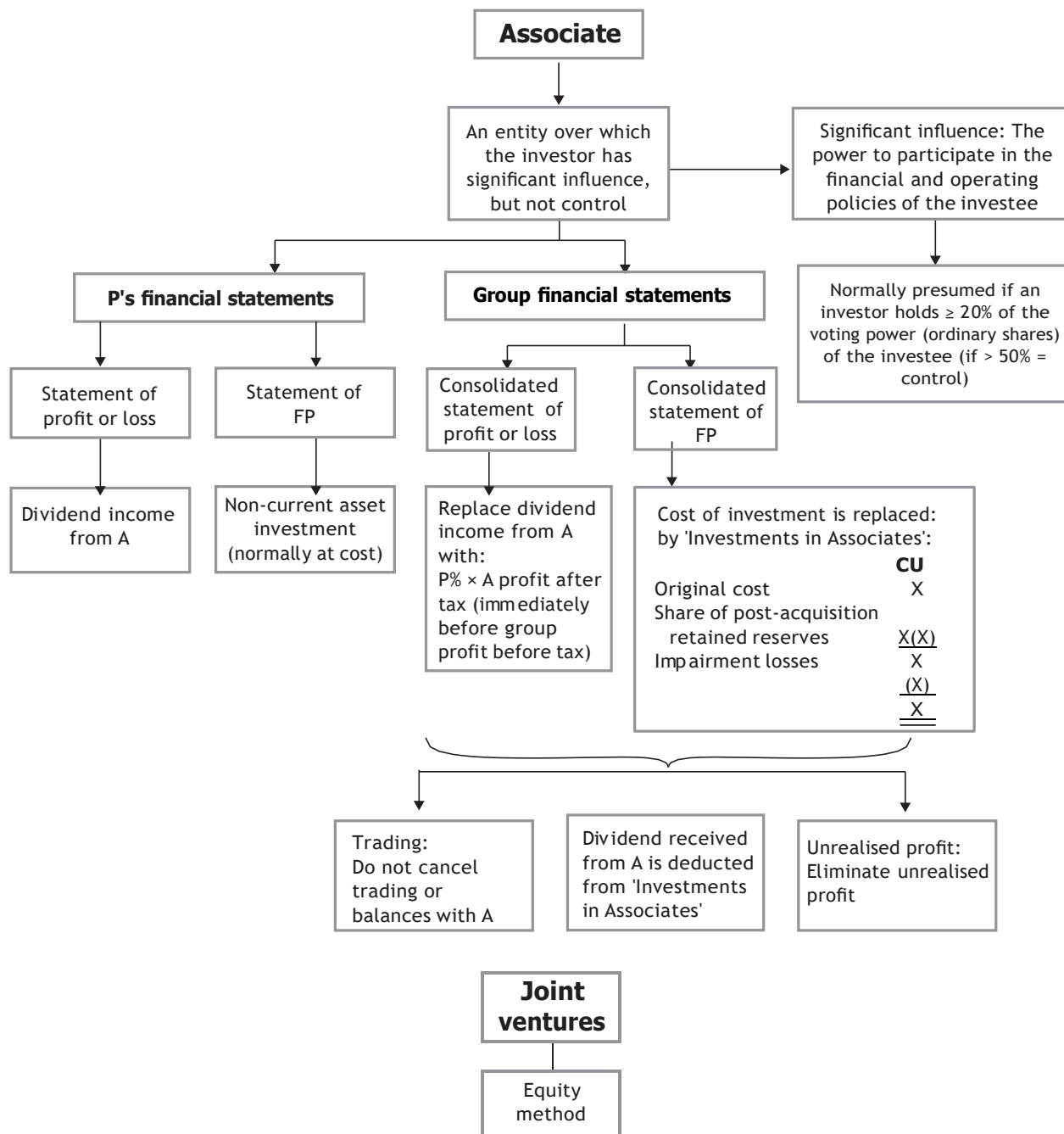
IFRS 12 requires that an entity discloses information regarding significant judgements and assumptions about how an investee is classified (and changes to those judgements and assumptions). The focus is on how the entity has concluded that it has control, joint control or significant influence over an investee and how it determined what the nature of the joint arrangement was. For example, disclosures might discuss why or how an entity does not control another entity even though it holds more than half of the voting rights of the other entity, or how and why it does control another entity even though it holds less than half of the voting rights of the other entity.

### 8.2 Disclosures

The following disclosures are required in respect of associates and joint arrangements:

- Nature, extent and financial effects of an entity's interests in associates or joint arrangements, including name of the investee, principal place of business, the investor's interest in the investee, method of accounting for the investee and restrictions on the investee's ability to transfer funds to the investor.
- Risks associated with an interest in an associate or joint venture.
- Summarised financial information for material investees, with more detail required for joint ventures than for associates.

# Summary



# Further question practice

## 1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

|    | Confirm your learning                                                                                                                                                                                                                             |
|----|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1. | Can you define significant influence? (Topic 1)                                                                                                                                                                                                   |
| 2. | Can you explain how the equity method is applied in the consolidated statement of financial position? (Topic 2)                                                                                                                                   |
| 3. | Can you explain how the equity method is applied in the consolidated statement of profit or loss? (Topic 3)                                                                                                                                       |
| 4. | How does the equity method differ from the consolidation of a subsidiary? (Topics 2 and 3)                                                                                                                                                        |
| 5. | If an associate trades with a parent entity selling goods at a profit, and some of the goods remain in inventory at the reporting date, how should this be dealt with in the group accounts? Does it matter which entity made the sale? (Topic 5) |
| 6. | How should a joint venture be accounted for in the consolidated financial statements? (Topic 7)                                                                                                                                                   |

## 2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

| Question  | Learning benefit from attempting this question                                                                                                                                                                                                                                                                                                                                                                                                                                      |
|-----------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Corfu plc | This question is a good test of your skills in preparing a consolidated statement of profit or loss, including the standard workings, with the addition of a joint venture.                                                                                                                                                                                                                                                                                                         |
| Water Ltd | This question is also great practice at the mechanics of consolidation, but this time on the consolidated statement of financial position. You need to work out what type of investment each company is - subsidiary or associate - before accounting for them. Parts (b) and (c) are a good test of whether you have really understood the different accounting treatments required for subsidiaries and associates and whether you can explain control and significant influence. |

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the Question Bank for this module. These questions have been selected to introduce exam style scenarios that will help you improve your knowledge application and professional skills development before you start the next chapter.

| Question                                             | Learning benefit from attempting this question                                                                                                                                                                                                                                                                                                                                                                                   |
|------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <a href="#">Norland</a> (part 1 only)                | This question requires you to prepare extracts from the consolidated statement of financial position for goodwill, non-controlling interests and the investment in associate. The difficult areas in this question are that the consideration paid for the subsidiary is not just cash and the fact that non-controlling interest is measured using the fair value method, which you may not have seen in many questions so far. |
| <a href="#">Corbiere plc</a> (part 3 only)           | This 10-mark question is a good test of knowledge for this chapter. The question requires you to explain how to account for an investment, a fair value adjustment relating to property and some dividends.                                                                                                                                                                                                                      |
| <a href="#">Barbadine Ltd</a> (part 1, issue 1 only) | This question tests whether you can explain how to account for an associate which is loss-making during the year. It is a good test of whether you can explain the equity method, with the extra complication of the loss for the year.                                                                                                                                                                                          |

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these questions, you can continue your studies by moving on to the next chapter.



# Technical reference

**Note:** The following sets out the examinability of the standards covered in this chapter.

**IAS 28** – All paragraphs are examinable.

**IFRS 11** – Only joint ventures are examinable in full. Only knowledge of the existence of other joint arrangements is required.

The paragraphs listed below are the key references you should be familiar with.

## 1 IAS 28, Investments in Associates and Joint Ventures

### Definitions

- The investor has joint control or significant influence over an investee – **IAS 28 (2)**
- Significant influence is the power to participate in financial and operating policy decisions of the investee, but is not control or joint control of those policies.
- A joint venture is a joint arrangement whereby the parties that have joint control of the arrangement have rights to the net assets of the arrangement – **IAS 28 (3)**
- Presumptions with regard to less than 20%, 20% or more for an associate – **IAS 28 (6)**
- Can be an associate, even if the subsidiary of another investor
- No significant influence if 'associate' in legal reorganisation and so on – **IAS 28 (9)**

### Equity method

- In statement of financial position: joint venture or associate presented as non-current asset = cost plus share of post-acquisition retained profit or loss and OCI – **IAS 28 (10)**
- In statement of profit or loss: share of joint venture or associate's post-tax profits less any impairment loss – **IAS 28 (10)**
- In other comprehensive income: share of changes to investee's other comprehensive income – **IAS 28 (10)**
- Use cost/in accordance with IFRS 9/equity accounting to account in investor's separate financial statements – **IAS 28 (44)**
- An entity which is exempt from preparing CFS under the exemptions in IFRS 10 need not apply the equity method – **IAS 28 (17)**
- Investment or portion of investment which is held for sale should be accounted for under IFRS 5 – **IAS 28 (20)**

## 2 IFRS 11, Joint Arrangements

- A joint arrangement is an arrangement in which two or more parties have joint control and are bound by a contractual arrangement – **IFRS 11 (5)**
- A joint venture gives venturers joint control and rights to the net assets of the arrangement – **IFRS 11 (16)**

- A joint venturer's interest in a joint venture is recognised as an investment and accounted for using the equity method in accordance with IAS 28 – **IFRS 11 (24)**
- A party that participates in a joint venture but has neither joint control nor significant influence should account for its interest in accordance with IFRS 9 – **IFRS 11 (25)**
- In its separate financial statements a joint venture shall account for its interest in a joint venture at cost or in accordance with IFRS 9 – **IFRS 11 (26)**

# Self-test questions

Answer the following questions.

## 1 Durie plc

Durie plc has many subsidiary companies. On 1 January 20X6 Durie plc bought 30% of the share capital of Edberg Ltd for CU6,660. The retained earnings of Edberg Ltd at that date were CU13,000 and the fair value of its assets less liabilities was CU20,000. The excess of fair value over carrying amount related to a plot of land which was still owned at 31 December 20X9; its fair value was unchanged at that date. The fair value was not reflected in the accounts of Edberg Ltd.

The summarised draft statement of financial position of Edberg Ltd on 31 December 20X9 includes the following.

|                                     | CU            |
|-------------------------------------|---------------|
| Share capital – CU1 ordinary shares | 5,000         |
| Retained earnings                   | 17,000        |
| Total equity                        | <u>22,000</u> |

By the end of 20X9 the investment in Edberg Ltd had been impaired by CU264.

### Requirement

At what amount should the investment in Edberg Ltd be shown using the equity method on 31 December 20X9?

## 2 Pik plc and Wik Ltd

Extracts from the statements of profit or loss of Pik plc and its subsidiaries and Wik Ltd, its associate, for the year ended 31 March 20X6 are as follows.

|                         | Pik plc (inc subsidiaries)<br>CU | Wik Ltd<br>CU  |
|-------------------------|----------------------------------|----------------|
| Gross profit            | 2,900,000                        | 1,600,000      |
| Administrative expenses | (750,000)                        | (170,000)      |
| Distribution costs      | (140,000)                        | (190,000)      |
| Dividends from Wik Ltd  | 20,000                           |                |
| Profit before tax       | 2,030,000                        | 1,240,000      |
| Income tax expense      | (810,000)                        | (440,000)      |
| Profit for the year     | <u>1,220,000</u>                 | <u>800,000</u> |

Pik plc acquired 25% of the ordinary shares in Wik Ltd on 1 April 20X3 when the retained earnings of Wik Ltd were CU80,000.

**Requirement**

At what amount should the profit before tax be shown in the consolidated statement of profit or loss of Pik plc for the year ended 31 March 20X6?

**3 Albert Ltd**

Albert Ltd owns many subsidiaries and 25% of Victoria Ltd. In the year ended 31 December 20X5 Albert Ltd sold goods to Victoria for CU400,000, earning a gross profit of 20%. Victoria Ltd held CU120,000 of them in its inventories at the year end.

**Requirement**

By what amount should Albert Ltd's cost of sales be increased when preparing its consolidated statement of profit or loss?

**4 Austen plc**

Austen plc has owned 100% of Kipling Ltd and 30% of Dickens Ltd, an associate, for many years. At 31 December 20X5 the trade receivables and trade payables shown in the individual company statements of financial position were as follows.

|                                           | Austen plc<br>CU | Kipling Ltd<br>CU | Dickens Ltd<br>CU |
|-------------------------------------------|------------------|-------------------|-------------------|
| Trade receivables                         | 50,000           | 30,000            | 40,000            |
| Trade payables                            | 30,000           | 15,000            | 20,000            |
| Trade payables included amounts owing to: |                  |                   |                   |
| Austen plc                                | -                | -                 | -                 |
| Kipling Ltd                               | 2,000            | -                 | 4,000             |
| Dickens Ltd                               | 7,000            | -                 | -                 |
| Other suppliers                           | 21,000           | 15,000            | 16,000            |
|                                           | <u>30,000</u>    | <u>15,000</u>     | <u>20,000</u>     |

The inter-company accounts agreed after taking into account the following.

- (1) A sales invoice for CU3,000 posted by Kipling Ltd on 31 December 20X5 was not received by Austen plc until 2 January 20X6.
- (2) A cheque for CU6,000 posted by Austen plc on 30 December 20X5 was not received by Dickens Ltd until 4 January 20X6.

**Requirement**

What amount should be shown as trade receivables in the consolidated statement of financial position of Austen plc?

## 5 P plc

P plc and its subsidiaries (S1 and S2) and associate (A) have the following inter-company balances at the year end.

|           | P<br>CU   | S1<br>CU  | S2<br>CU  | A<br>CU   |
|-----------|-----------|-----------|-----------|-----------|
| P with A  | 50,000 CR |           |           | 50,000 DR |
| S2 with A |           |           | 75,000 DR |           |
| S1 with A |           | 80,000 CR |           | 80,000 DR |

Any differences related to cash in transit and where this is the case adjustments are to be made in the books of the receiving company.

### Requirement

After making the necessary adjustments to reflect the above, what amounts due to or from associates should be recognised in the consolidated statement of financial position at the year end?

## 6 Helen plc

Helen plc, a company with several subsidiaries, acquired 35% of Troy Ltd on 1 January 20X6 for CU90,000. At that date Troy Ltd had share capital of CU70,000 and retained earnings of CU96,000. It also owns a plot of land which had a fair value of CU60,000 compared to a carrying amount of CU42,000; this fair value has not been incorporated into the accounting records of Troy Ltd and the fair value is unchanged at 31 December 20X9. Since the investment was made, Troy Ltd has reported profit for the year of CU118,000 including CU110,000 made in the current year. The investment in Troy Ltd has become impaired by CU2,560 during the current year.

### Requirement

What is the share of profit of associate to be included in the consolidated statement of profit or loss for the year ended 31 December 20X9 in respect of Troy Ltd?

## 7 Alba Ltd and Eire Ltd

On 1 January 20X0 Alba Ltd purchased 30% of Eire Ltd for CU55,000. At this date the retained earnings of Eire Ltd stood at CU60,000 and the fair value of net assets, which was subsequently reflected in Eire Ltd's accounting records, was CU170,000. The excess of fair value over carrying amount related to a plot of land which was still owned at 31 December 20X4.

The statement of financial position of Eire Ltd on 31 December 20X4 showed the following.

|                     | CU             |
|---------------------|----------------|
| Share capital       | 100,000        |
| Revaluation surplus | 10,000         |
| Retained earnings   | <u>200,000</u> |
| Total equity        | <u>310,000</u> |

### Requirement

What is the carrying amount of the Investment in associate to be presented in Alba Ltd's consolidated statement of financial position at 31 December 20X4?

## 8 Drought plc

Drought plc became a venturer in a joint venture by acquiring 40% of the ordinary shares of Deluge Ltd, on 1 January 20X7 for CU250,000. At that date Deluge Ltd had retained earnings of CU210,000 and a factory building with a fair value CU60,000 in excess of its carrying amount and a remaining useful life of 20 years. No fair value adjustment has been carried out in the accounting records of Deluge Ltd. At 31 December 20X9 Deluge Ltd had retained earnings of CU420,000.

### Requirement

What amount should be shown as 'investment in joint venture' in the consolidated statement of financial position of Drought plc at 31 December 20X9?

## 9 Haley plc

The draft statements of financial position of three companies as at 31 December 20X9 are set out below.

|                                | Haley plc      | Socrates Ltd   | Aristotle Ltd  |
|--------------------------------|----------------|----------------|----------------|
|                                | CU             | CU             | CU             |
| Property, plant and equipment  | 300,000        | 100,000        | 160,000        |
| Investments at cost            |                |                |                |
| 18,000 shares in Socrates Ltd  | 75,000         | -              | -              |
| 18,000 shares in Aristotle Ltd | 30,000         | -              | -              |
| Current assets                 | 345,000        | 160,000        | 80,000         |
|                                | <u>750,000</u> | <u>260,000</u> | <u>240,000</u> |
| Ordinary shares of CU1 each    | 250,000        | 30,000         | 60,000         |
| Retained earnings              | 400,000        | 180,000        | 100,000        |
| Total equity                   | 650,000        | 210,000        | 160,000        |
| Current liabilities            | 100,000        | 50,000         | 80,000         |
|                                | <u>750,000</u> | <u>260,000</u> | <u>240,000</u> |

The retained earnings of Socrates Ltd and Aristotle Ltd when the investments were acquired eight years ago were CU70,000 and CU30,000 respectively. The fair values of the identifiable assets acquired and liabilities assumed by Haley plc were equal to the carrying amount of Socrates Ltd's net assets at the date of acquisition. The fair value of the assets and liabilities of Aristotle Ltd were also equal to their carrying amounts.

Impairment reviews to date have resulted in the need for the following amounts to be written off Haley plc's investments.

|               | CU     |
|---------------|--------|
| Socrates Ltd  | 12,000 |
| Aristotle Ltd | 2,400  |

### Requirement

Prepare the consolidated statement of financial position as at 31 December 20X9.

## 10 Corfu Ltd

Corfu Ltd holds 80% of the ordinary share capital of Zante Ltd (acquired on 1 February 20X9) and 30% of the ordinary share capital of Paxos Ltd. Paxos Ltd is a joint venture set up by Corfu Ltd and two other venturers on 1 July 20X8. The contractual agreement provides for joint control of Paxos Ltd. Corfu Ltd uses the equity method of accounting wherever possible.

The draft statements of profit or loss for the year ended 30 June 20X9 are set out below.

|                                   | Corfu Ltd      | Zante Ltd      | Paxos Ltd      |
|-----------------------------------|----------------|----------------|----------------|
|                                   | CU             | CU             | CU             |
| Revenue                           | 12,614,000     | 6,160,000      | 8,640,000      |
| Cost of sales and expenses        | (11,318,000)   | (5,524,000)    | (7,614,000)    |
| Trading profit                    | 1,296,000      | 636,000        | 1,026,000      |
| Dividends received from Zante Ltd | 171,000        |                |                |
| Profit before tax                 | 1,467,000      | 636,000        | 1,026,000      |
| Income tax expense                | (621,000)      | (275,000)      | (432,000)      |
| Profit for the year               | <u>846,000</u> | <u>361,000</u> | <u>594,000</u> |

Included in the inventory of Paxos Ltd at 30 June 20X9 was CU150,000 for goods purchased from Corfu Ltd in May 20X9, which the latter company had invoiced at cost plus 25%. These were the only goods Corfu Ltd sold to Paxos Ltd but it did make sales of CU50,000 to Zante Ltd during the year.

None of these goods remained in Zante Ltd's inventory at the year end.

### Requirement

Prepare a consolidated statement of profit or loss for Corfu Ltd for the year ended 30 June 20X9.

## 11 King Ltd

King Ltd acquired shares in two other companies as follows.

| Company    | Acquisition date | Shares acquired | Goodwill on acquisition | Retained earnings at acquisition |
|------------|------------------|-----------------|-------------------------|----------------------------------|
|            |                  | %               | CU                      | CU                               |
| Prawn Ltd  | 1 October 20X7   | 80              | 90,000                  | 260,000                          |
| Madras Ltd | 31 December 20X5 | 25              |                         | 340,000                          |

The fair values of the identifiable assets acquired and liabilities assumed by King Ltd were equal to the carrying amount of Prawn Ltd's net assets at the date of acquisition. The fair value of the assets and liabilities of Madras Ltd were also equal to their carrying amounts. The results and changes in retained earnings of the three companies for the year ended 30 September 20X9 are as follows.

|                            | King Ltd<br>CU | Prawn Ltd<br>CU | Madras Ltd<br>CU |
|----------------------------|----------------|-----------------|------------------|
| Revenue                    | 800,000        | 430,000         | 600,000          |
| Dividend from Prawn Ltd    | 40,000         | -               | -                |
| Dividend from Madras Ltd   | 10,000         | -               | -                |
| Cost of sales and expenses | (550,000)      | (255,000)       | (440,000)        |
| Profit before tax          | 300,000        | 175,000         | 160,000          |
| Income tax expense         | (80,000)       | (45,000)        | (60,000)         |
| Profit for the year        | 220,000        | 130,000         | 100,000          |

|                                         | King Ltd<br>CU | Retained<br>earnings<br>Prawn Ltd<br>CU | Madras Ltd<br>CU |
|-----------------------------------------|----------------|-----------------------------------------|------------------|
| Balance brought forward                 | 600,000        | 320,000                                 | 540,000          |
| Total comprehensive income for the year | 220,000        | 130,000                                 | 100,000          |
| Dividends paid                          | (110,000)      | (50,000)                                | (40,000)         |
| Balance carried forward                 | 710,000        | 400,000                                 | 600,000          |

You are also given the following information.

- (1) During the year King Ltd made sales of CU80,000 to Prawn Ltd at a gross profit of 25%. At the year end Prawn Ltd still held CU36,000 of these goods in inventory.
- (2) Impairment reviews at the following dates revealed the following amounts to be written off in respect of King Ltd's investment in Prawn Ltd and Madras Ltd.

|                   | Prawn Ltd<br>CU | Madras Ltd<br>CU |
|-------------------|-----------------|------------------|
| Review at         |                 |                  |
| 30 September 20X8 | 9,000           | 17,000           |
| 30 September 20X9 | 9,000           | 6,000            |

### Requirement

Prepare the consolidated statement of profit or loss and the retained earnings column in the consolidated statement of changes in equity of the King Ltd group for the year ended 30 September 20X9.



## 12 Water Ltd

The draft statements of financial position of three companies as at 30 September 20X5 are as follows.

|                                | Water Ltd<br>CU  | Hydrogen Ltd<br>CU | Oxygen Ltd<br>CU |
|--------------------------------|------------------|--------------------|------------------|
| Non-current assets             |                  |                    |                  |
| Property, plant and equipment  | 697,210          | 648,010            | 349,400          |
| Investments                    |                  |                    |                  |
| 160,000 shares in Hydrogen Ltd | 562,000          | -                  | -                |
| 80,000 shares in Oxygen Ltd    | 184,000          |                    |                  |
|                                | <u>1,443,210</u> | <u>648,010</u>     | <u>349,400</u>   |
| Current assets                 |                  |                    |                  |
| Inventories                    | 495,165          | 388,619            | 286,925          |
| Trade receivables              | 415,717          | 320,540            | 251,065          |
| Cash                           | 101,274          | 95,010             | 80,331           |
| Total assets                   | <u>2,455,366</u> | <u>1,452,179</u>   | <u>967,721</u>   |
| Equity                         |                  |                    |                  |
| Ordinary share capital         | 600,000          | 200,000            | 200,000          |
|                                |                  |                    |                  |
|                                | Water Ltd<br>CU  | Hydrogen Ltd<br>CU | Oxygen Ltd<br>CU |
| Retained earnings              | <u>1,015,000</u> | <u>820,000</u>     | <u>463,000</u>   |
| Total equity                   | 1,615,000        | 1,020,000          | 663,000          |
| Non-current liabilities        | 400,000          | 150,000            | 100,000          |
| Current liabilities            |                  |                    |                  |
| Trade payables                 | <u>440,366</u>   | <u>282,179</u>     | <u>204,721</u>   |
| Total equity and liabilities   | <u>2,455,366</u> | <u>1,452,179</u>   | <u>967,721</u>   |

You are given the following additional information.

- (1) Water Ltd purchased the shares in Hydrogen Ltd on 1 October 20X0 when the retained earnings of Hydrogen Ltd were CU500,000. The fair value of the identifiable assets acquired and liabilities assumed by Water Ltd were equal to their carrying amounts at the date of acquisition.
- (2) The non-controlling interests in Hydrogen Ltd should be measured using the proportionate method.
- (3) The shares in Oxygen Ltd were acquired on 1 October 20X2 when its retained earnings were CU242,000.
- (4) Included in the inventory figure for Water Ltd is inventory valued at CU20,000 which had been purchased from Hydrogen Ltd at cost plus 25%.
- (5) Included in the trade payables figure of Water Ltd is CU18,000 payable to Oxygen Ltd, the amount receivable being recorded in the trade receivables figure of Oxygen Ltd.

- (6) Impairment reviews to date have revealed a total of CU1,000 to be written off goodwill in respect of Hydrogen Ltd and CU2,000 off in respect of Water Ltd's investment in Oxygen Ltd.

### Requirements

- 12.1 Prepare the consolidated statement of financial position for Water Ltd as at 30 September 20X5.
- 12.2 Identify the required accounting treatment for different levels of investment in undertakings for consolidated accounts purposes, explaining why these are appropriate.
- 12.3 Set out a brief explanation in note form of how subsidiaries and associates are accounted for in the consolidated statement of financial position.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

# Answers to Interactive questions

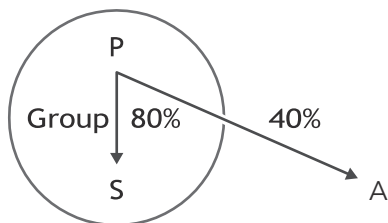
## Answer to Interactive question 1

**P Ltd: Consolidated statement of financial position as at 31 December 20X8**

|                                             | CU                |
|---------------------------------------------|-------------------|
| Goodwill (W3)                               | 64,000            |
| Investments in associates (W6)              | 1,860,000         |
| Sundry assets (6,600,000 + 5,800,000)       | 12,400,000        |
|                                             | <u>14,324,000</u> |
| Equity attributable to owners of the parent |                   |
| Share capital                               | 1,000,000         |
| Retained earnings (W5)                      | 7,564,000         |
|                                             | <u>8,564,000</u>  |
| Non-controlling interests (W4)              | 760,000           |
| Total equity                                | 9,324,000         |
| Liabilities (3,000,000 + 2,000,000)         | 5,000,000         |
|                                             | <u>14,324,000</u> |

## WORKINGS

### (1) Group structure



### (2) Fair value of identifiable assets acquired and liabilities assumed

|                   | Year end<br>CU   | Acquisition<br>CU | Post-acquisition<br>CU |
|-------------------|------------------|-------------------|------------------------|
| Share capital     | 400,000          | 400,000           |                        |
| Retained earnings | 3,400,000        | 520,000           | 2,880,000              |
|                   | <u>3,800,000</u> | <u>920,000</u>    |                        |

### (3) Goodwill

|                                                                        | S Ltd   | CU      |
|------------------------------------------------------------------------|---------|---------|
| Consideration transferred                                              | 800,000 |         |
| Non-controlling interests at acquisition ( $20\% \times 920,000$ (W2)) |         | 184,000 |

| S Ltd                                                                   | CU        |
|-------------------------------------------------------------------------|-----------|
| Fair value of identifiable assets acquired and liabilities assumed (W2) | (920,000) |
| Goodwill                                                                | 64,000    |

**(4) Non-controlling interests**

|                                                           | CU             |
|-----------------------------------------------------------|----------------|
| At acquisition ( $20\% \times 920,000$ (W2))              | 184,000        |
| Share of post-acquisition ( $20\% \times 2,880,000$ (W2)) | 576,000        |
|                                                           | <u>760,000</u> |

**(5) Retained earnings**

|                                               | CU               |
|-----------------------------------------------|------------------|
| P Ltd                                         | 4,000,000        |
| S Ltd ( $80\% \times 2,880,000$ (W2))         | 2,304,000        |
| A Ltd ( $40\% \times (3,600,000 - 400,000)$ ) | 1,280,000        |
| Impairment losses to date                     | (20,000)         |
|                                               | <u>7,564,000</u> |

**(6) Investment in associate**

|                                                                                     | CU               |
|-------------------------------------------------------------------------------------|------------------|
| Original cost                                                                       | 600,000          |
| Share of post-acquisition retained earnings ( $40\% \times (3,600,000 - 400,000)$ ) | 1,280,000        |
|                                                                                     | <u>1,880,000</u> |
| Impairment losses to date                                                           | (20,000)         |
|                                                                                     | <u>1,860,000</u> |

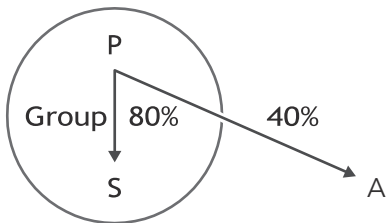
## Answer to Interactive question 2

### P Ltd: Consolidated statement of profit or loss for the year ending 31 December 20X8

|                                    | CU       |
|------------------------------------|----------|
| Revenue (W2)                       | 26,000   |
| Cost of sales (W2)                 | (13,000) |
| Gross profit                       | 13,000   |
| Administrative expenses (W2)       | (8,000)  |
| Operating profit                   | 5,000    |
| Finance income (W2)                | 1,000    |
| Share of profit of associates (W4) | 840      |
| Profit before tax                  | 6,840    |
| Income tax expense (W2)            | (2,200)  |
|                                    | CU       |
| Profit for the year                | 4,640    |
| Profit attributable to:            |          |
| Owners of P Ltd (balancing figure) | 4,480    |
| Non-controlling interest (W3)      | 160      |
|                                    | 4,640    |

## WORKINGS

### (1) Group structure



### (2) Consolidation schedule

|                   | P Ltd<br>CU | S Ltd<br>CU | Adjustments<br>CU | Consolidated<br>CU |
|-------------------|-------------|-------------|-------------------|--------------------|
| Revenue           | 14,000      | 12,000      |                   | 26,000             |
| Cost of sales     | (9,000)     | (4,000)     |                   | (13,000)           |
| Admin expenses    | (2,000)     | (6,000)     |                   | (8,000)            |
| Investment income | 1,000       |             |                   | 1,000              |
| Tax               | (1,000)     | (1,200)     |                   | (2,200)            |
|                   |             | 800         |                   |                    |

**(3) Non-controlling interest**

|                                 |           |
|---------------------------------|-----------|
|                                 | <b>CU</b> |
| S Ltd ( $20\% \times 800$ (W2)) | 160       |

**(4) Share of profits of associate**

|                                      |           |
|--------------------------------------|-----------|
|                                      | <b>CU</b> |
| A Ltd ( $40\% \times 2,400$ ) - 120) | 840       |

**Answer to Interactive question 3****Consolidated statement of financial position journal**

|                                                                 |           |           |
|-----------------------------------------------------------------|-----------|-----------|
|                                                                 | <b>CU</b> | <b>CU</b> |
| DR P's retained earnings ( $35\% \times (50,000 \times 40\%)$ ) | 7,000     |           |
| CR Investment in A                                              |           | 7,000     |

**Adjustment required in the consolidated statement of profit or loss**

In the consolidation schedule, increase P's cost of sales by CU7,000. This reduces P's profit by CU7,000, hence the unrealised profit made by P has been removed.

**Answer to Interactive question 4****4.1 Journal entries to adjust for PURP**

|                                                                   |           |           |
|-------------------------------------------------------------------|-----------|-----------|
|                                                                   | <b>CU</b> | <b>CU</b> |
| DR Group retained earnings ( $35\% \times (50,000 \times 40\%)$ ) | 7,000     |           |
| CR Group inventories                                              |           | 7,000     |

**4.2 Share of profit of associate for inclusion in the consolidated statement of profit or loss**

|                           |                |
|---------------------------|----------------|
|                           | <b>CU</b>      |
| Associate's PFY           | 75,000         |
| Group share $\times 35\%$ | 26,250         |
| Less: PURP                | <u>(7,000)</u> |
|                           | 19,250         |

**Answer to Interactive question 5****Consolidated statement of financial position as at 31 December 20X5****CUm**

|                                                      |            |
|------------------------------------------------------|------------|
| Non-current assets                                   |            |
| Property, plant and equipment                        | 820        |
| Investment in JV ( $100 + (320 - 120) \times 30\%$ ) | <u>160</u> |
|                                                      | 980        |

|                                                       |              |
|-------------------------------------------------------|--------------|
| Current assets                                        |              |
| Loan                                                  | 60           |
| Other                                                 | <u>240</u>   |
|                                                       | 300          |
| Total assets                                          | <u>1,280</u> |
| Equity                                                |              |
| Share capital                                         | 780          |
| Retained earnings $(440 + ((320 - 120) \times 30\%))$ | 500          |
| Total equity                                          | 1,280        |

## Answers to Self-test questions

### 1 Durie plc

CU7,596

|                                                                                                                               | CU           |
|-------------------------------------------------------------------------------------------------------------------------------|--------------|
| Cost of investment in Edberg Ltd                                                                                              | 6,660        |
| Share of post-acquisition change in net assets (calculated as $30\% \times$ change in retained earnings $(17,000 - 13,000)$ ) | 1,200        |
|                                                                                                                               | 7,860        |
| Impairment losses to date                                                                                                     | (264)        |
|                                                                                                                               | <u>7,596</u> |

#### Tutorial Note

If:

- (1) the amount of the fair value adjustment is the same at the end of the reporting period and the date the investment is made; and
  - (2) it has not been reflected in the associate's accounting records,
- then it can be omitted from the calculation of the post-acquisition change in the associate's net assets.

### 2 Pik plc and Wik Ltd

CU2,210,000

|                                                        | CU                      |
|--------------------------------------------------------|-------------------------|
| Pik plc (incl subsidiaries)                            |                         |
| Gross profit                                           | 2,900,000               |
| Less: Administrative expenses                          | (750,000)               |
| Distribution costs                                     | (140,000)               |
| Share of profit of associate ( $25\% \times 800,000$ ) | 200,000                 |
|                                                        | <u><u>2,210,000</u></u> |

### 3 Albert Ltd

Albert Ltd's share of the unrealised profit it recognised in respect of the goods held in inventories should be eliminated, so  $25\% \times \text{CU}120,000 \times 20\% = \text{CU}6,000$ .

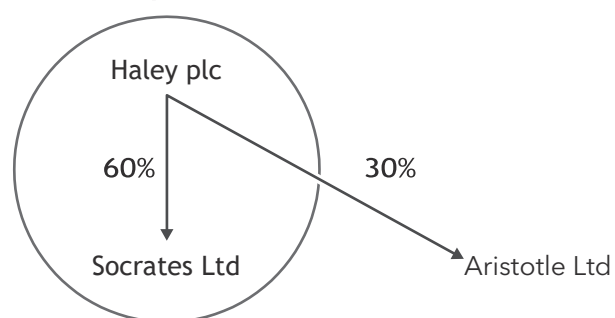


|          |                                                                                                                                                                                                                  |           |                   |
|----------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------|-------------------|
| <b>4</b> | <b>Austen plc</b><br>CU75,000                                                                                                                                                                                    |           |                   |
|          |                                                                                                                                                                                                                  | <b>CU</b> | <b>CU</b>         |
|          | Austen plc                                                                                                                                                                                                       | 50,000    |                   |
|          | Kipling Ltd                                                                                                                                                                                                      |           | 30,000            |
|          | <b>CU</b>                                                                                                                                                                                                        |           | <b>CU</b>         |
|          | Less Intra group (2,000 + 3,000)                                                                                                                                                                                 |           | (5,000)           |
|          | Do not cancel balances with Dickens Ltd as Dickens Ltd is an associate.                                                                                                                                          |           |                   |
|          |                                                                                                                                                                                                                  |           | 25,000            |
|          |                                                                                                                                                                                                                  |           | <u>75,000</u>     |
| <b>5</b> | <b>P plc</b><br>CU130,000 due to associates<br>All balances with associates are retained on consolidation.                                                                                                       |           |                   |
|          |                                                                                                                                                                                                                  |           | <b>CU</b>         |
|          | P                                                                                                                                                                                                                |           | 50,000 CR         |
|          | S1                                                                                                                                                                                                               |           | 80,000 CR         |
|          |                                                                                                                                                                                                                  |           | <u>130,000 CR</u> |
|          | The CU75,000 DR in S2 disappears once adjustment has been made for cash in transit.                                                                                                                              |           |                   |
| <b>6</b> | <b>Helen plc</b><br>CU35,940                                                                                                                                                                                     |           |                   |
|          |                                                                                                                                                                                                                  |           | <b>CU</b>         |
|          | Share of PFY ( $110,000 \times 35\%$ )                                                                                                                                                                           |           | 38,500            |
|          | Less impairment loss                                                                                                                                                                                             |           | <u>(2,560)</u>    |
|          |                                                                                                                                                                                                                  |           | <u>35,940</u>     |
| <b>7</b> | <b>Alba Ltd and Eire Ltd</b><br>CU97,000                                                                                                                                                                         |           |                   |
|          |                                                                                                                                                                                                                  |           | <b>CU</b>         |
|          | Cost of investment in Eire Ltd                                                                                                                                                                                   |           | 55,000            |
|          | Share of post-acquisition change in net assets ( $30\% \times (310,000 - 170,000)$ )                                                                                                                             |           | <u>42,000</u>     |
|          |                                                                                                                                                                                                                  |           | <u>97,000</u>     |
|          | As the excess of fair value over carrying amount at the date the investment was made was subsequently reflected in Eire Ltd's accounting records, no fair value adjustment needs to be made at 31 December 20X4. |           |                   |
| <b>8</b> | <b>Drought plc</b><br>CU330,400                                                                                                                                                                                  |           |                   |
|          |                                                                                                                                                                                                                  |           | <b>CU</b>         |
|          | Cost of investment                                                                                                                                                                                               |           | 250,000           |
|          | Share of post-acquisition increase in net assets ( $((420,000 - 210,000) \times 40\%)$ )                                                                                                                         |           | 84,000            |
|          | Share of depreciation on FVA ( $((60,000 \times 3/20) \times 40\%)$ )                                                                                                                                            |           | <u>(3,600)</u>    |
|          | Investment in joint venture                                                                                                                                                                                      |           | <u>330,400</u>    |

9

**Haley plc****Consolidated statement of financial position as at 31 December 20X9**

|                                                                | CU             |
|----------------------------------------------------------------|----------------|
| <b>ASSETS</b>                                                  |                |
| Non-current assets                                             |                |
| Property, plant and equipment (300,000 + 100,000)              | 400,000        |
| Intangible assets (W3)                                         | 3,000          |
| Investments in associates (W6)                                 | 48,600         |
|                                                                | <u>451,600</u> |
| Current assets (345,000 + 160,000)                             | 505,000        |
| Total assets                                                   | <u>956,600</u> |
| <b>EQUITY AND LIABILITIES</b>                                  |                |
| Equity attributable to owners of parent Ordinary share capital | 250,000        |
| Retained earnings (W5)                                         | 472,600        |
|                                                                | <u>722,600</u> |
| Non-controlling interests (W4)                                 | 84,000         |
| Total equity                                                   | <u>806,600</u> |
| Current liabilities (100,000 + 50,000)                         | 150,000        |
| Total equity and liabilities                                   | <u>956,600</u> |

**WORKINGS****(1) Group structure****(2) Fair value of identifiable assets acquired and liabilities assumed**

|                   | Year end<br>CU | Acquisition<br>CU | Post-acquisition<br>CU |
|-------------------|----------------|-------------------|------------------------|
| Share capital     | 30,000         | 30,000            | -                      |
| Retained earnings | 180,000        | 70,000            | 110,000                |
|                   | <u>210,000</u> | <u>100,000</u>    |                        |

|                                                                                   |                     |
|-----------------------------------------------------------------------------------|---------------------|
| <b>(3) Goodwill</b>                                                               | <b>Socrates Ltd</b> |
|                                                                                   | <b>CU</b>           |
| Consideration transferred                                                         | 75,000              |
| Non-controlling interests at acquisition ( $40\% \times 100,000$ (W2))            | 40,000              |
| Fair value of identifiable assets acquired and liabilities assumed at acquisition |                     |
| (W2)                                                                              | <u>(100,000)</u>    |
|                                                                                   | 15,000              |
| Impairment to date                                                                | <u>(12,000)</u>     |
| Balance c/f                                                                       | <u>3,000</u>        |
| <b>(4) Non-controlling interests at year end</b>                                  | <b>CU</b>           |
| At acquisition ( $40\% \times 100,000$ (W2))                                      | 40,000              |
| Share of post-acquisition reserves ( $40\% \times 110,000$ (W2))                  | <u>44,000</u>       |
|                                                                                   | <u>84,000</u>       |
| <b>(5) Retained earnings</b>                                                      | <b>CU</b>           |
| Haley plc                                                                         | 400,000             |
| Socrates Ltd ( $60\% \times 110,000$ (W2))                                        | 66,000              |
| Aristotle Ltd ( $30\% \times (100,000 - 30,000)$ )                                | 21,000              |
| Less Impairment to date ( $12,000 + 2,400$ )                                      | <u>(14,400)</u>     |
|                                                                                   | <u>472,600</u>      |
| <b>(6) Investment in associate</b>                                                | <b>CU</b>           |
| Cost of investment in Aristotle Ltd                                               | 30,000              |
| Share of post-acquisition retained earnings ( $30\% \times (100,000 - 30,000)$ )  | <u>21,000</u>       |
|                                                                                   | 51,000              |
| Impairment losses to date                                                         | <u>(2,400)</u>      |
|                                                                                   | <u>48,600</u>       |

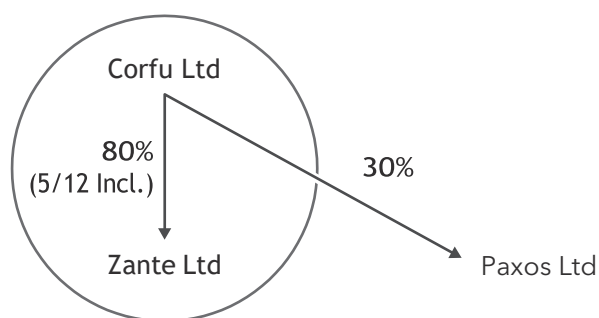
**10 Corfu Ltd**  
**Consolidated statement of profit or loss for the year ended 30 June 20X9**

|                                       |                     |
|---------------------------------------|---------------------|
|                                       | <b>CU</b>           |
| Revenue (W2)                          | 15,130,667          |
| Cost of sales and expenses (W2)       | <u>(13,578,667)</u> |
|                                       | 1,552,000           |
| Share of profit of joint venture (W4) | <u>178,200</u>      |
| Profit before tax                     | 1,730,200           |

|                                                                  |           |
|------------------------------------------------------------------|-----------|
| Income tax expense (W2)                                          | (735,583) |
| Profit for the year                                              | 994,617   |
| Profit attributable to<br>Owners of Corfu Ltd (balancing figure) | 964,534   |
| Non-controlling interests (W3)                                   | 30,083    |
|                                                                  | 994,617   |

## WORKINGS

### (1) Group structure



### (2) Consolidation schedule

|                                          | Corfu Ltd<br>CU | Zante Ltd<br>5/12<br>CU | Adjustment<br>CU | Consolidated<br>CU |
|------------------------------------------|-----------------|-------------------------|------------------|--------------------|
| Revenue                                  | 12,614,000      | 2,566,667               | (50,000)         | 15,130,667         |
| Cost of sales                            |                 |                         |                  |                    |
| Per question                             | (11,318,000)    | (2,301,667)             | 50,000           |                    |
| PURP re Paxos (30% × (150,000 × 25/125)) | (9,000)         |                         |                  |                    |
|                                          |                 |                         |                  | (13,578,667)       |
| Income tax                               | (621,000)       | (114,583)               |                  | (735,583)          |
|                                          |                 | 150,417                 |                  |                    |

### (3) Non-controlling interests

|                                |        |
|--------------------------------|--------|
|                                | CU     |
| Zante Ltd (20% × 150,417 (W2)) | 30,083 |

### (4) Share of profit of joint venture

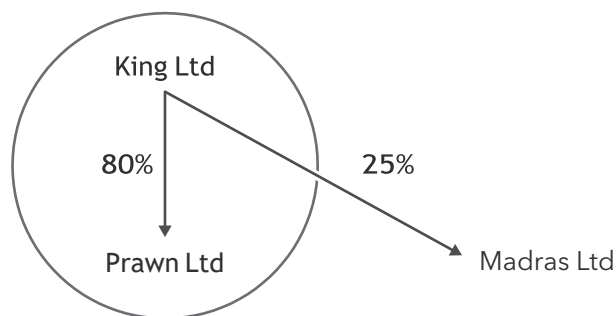
|                           |         |
|---------------------------|---------|
|                           | CU      |
| Paxos Ltd (30% × 594,000) | 178,200 |

**King Ltd****Consolidated statement of profit or loss for the year ended 30 September 20X9**

|                                    | <b>CU</b>      |
|------------------------------------|----------------|
| Revenue (W2)                       | 1,150,000      |
| Cost of sales and expenses (W2)    | (743,000)      |
|                                    | <u>407,000</u> |
| Share of profit of associates (W5) | 19,000         |
|                                    | <u>426,000</u> |
| Profit before tax                  | 426,000        |
| Income tax expense (W2)            | (125,000)      |
|                                    | <u>301,000</u> |
| Profit for the year                | <u>301,000</u> |
| Profit attributable to:            |                |
| Owners of King Ltd (β)             | 275,000        |
| Non-controlling interests (W3)     | 26,000         |
|                                    | <u>301,000</u> |

**Consolidated statement of changes in equity for the year ended 30 September 20X9 (extract)**

|                                         | <b>Retained earnings</b> |
|-----------------------------------------|--------------------------|
|                                         | <b>CU</b>                |
| Balance brought forward (W4)            | 672,000                  |
| Total comprehensive income for the year | 275,000                  |
| Dividends paid on ordinary shares       | (110,000)                |
|                                         | <u>837,000</u>           |
| Balance carried forward                 | <u><u>837,000</u></u>    |

**WORKINGS****(1) Group structure****(2) Consolidation**

|                     | <b>King Ltd</b> | <b>Prawn Ltd</b> | <b>Adjustments</b> | <b>Consolidated</b> |
|---------------------|-----------------|------------------|--------------------|---------------------|
|                     | <b>CU</b>       | <b>CU</b>        | <b>CU</b>          | <b>CU</b>           |
| Revenue             | 800,000         | 430,000          | (80,000)           | 1,150,000           |
| C of S and expenses |                 |                  |                    |                     |
| Per question        | (550,000)       | (255,000)        | 80,000             |                     |
| PURP (36 × 25%)     | (9,000)         |                  |                    |                     |

|                                              | King Ltd<br>CU | Prawn Ltd<br>CU | Adjustments<br>CU | Consolidated<br>CU |
|----------------------------------------------|----------------|-----------------|-------------------|--------------------|
| Goodwill impairment loss                     | (9,000)        |                 |                   | (743,000)          |
| Income tax                                   | (80,000)       | (45,000)        |                   | (125,000)          |
| PFY                                          |                | <u>130,000</u>  |                   |                    |
| <b>(3) Non-controlling interests</b>         |                |                 |                   | <b>CU</b>          |
| Prawn Ltd (130,000 × 20%)                    |                |                 |                   | 26,000             |
| <b>(4) Retained earnings brought forward</b> |                |                 |                   | <b>CU</b>          |
| King Ltd                                     |                |                 |                   | 600,000            |
| Prawn Ltd (80% × (320 - 260))                |                |                 |                   | 48,000             |
| Madras Ltd (25% × (540 - 340))               |                |                 |                   | 50,000             |
| Less Impairment losses to date (9 + 17)      |                |                 |                   | (26,000)           |
|                                              |                |                 |                   | <u>672,000</u>     |
| <b>(5) Share of profit of associates</b>     |                |                 |                   | <b>CU</b>          |
| Madras Ltd ((25% × 100) - 6)                 |                |                 |                   | 19,000             |

## 12 Water Ltd

### 12.1 Consolidated statement of financial position as at 30 September 20X5

#### ASSETS

|                                                   | CU             | CU               |
|---------------------------------------------------|----------------|------------------|
| Non-current assets                                |                |                  |
| Property, plant and equipment (697,210 + 648,010) |                | 1,345,220        |
| Intangible assets (W3)                            |                | 1,000            |
| Investment in associate (W7)                      |                | <u>270,400</u>   |
|                                                   |                | 1,616,620        |
| Current assets                                    |                |                  |
| Inventories (495,165 + 388,619 - 4,000 (W6))      | 879,784        |                  |
| Trade and other receivables (415,717 + 320,540)   | 736,257        |                  |
| Cash and cash equivalents (101,274 + 95,010)      | <u>196,284</u> |                  |
|                                                   |                | 1,812,325        |
| Total assets                                      |                | <u>3,428,945</u> |

|                                             | CU | CU                      |
|---------------------------------------------|----|-------------------------|
| EQUITY AND LIABILITIES                      |    |                         |
| Equity attributable to owners of the parent |    |                         |
| Ordinary share capital                      |    | 600,000                 |
| Retained earnings (W5)                      |    | 1,353,200               |
|                                             |    | <u>1,953,200</u>        |
| Non-controlling interests (W4)              |    | 203,200                 |
| Total equity                                |    | <u>2,156,400</u>        |
| Non-current liabilities                     |    |                         |
| Borrowings (400,000 + 150,000)              |    | 550,000                 |
| Current liabilities                         |    |                         |
| Trade payables (440,366 + 282,179)          |    | <u>722,545</u>          |
| Total equity and liabilities                |    | <u><u>3,428,945</u></u> |

## 12.2 Required accounting treatment for different levels of investment

### (1) Control

The investment will be treated as a subsidiary and consolidated in accordance with IFRS 10, Consolidated Financial Statements.

The ability to direct the decision making of the undertaking means that full consolidation is appropriate. The assets/liabilities and income/expenses under group control are shown as if they belonged to a single entity.

The non-controlling share is shown in order to indicate the proportion not owned by the group.

### (2) Significant influence

Many investments involve the influencing of decisions rather than outright control.

Such investments are treated as associates and equity accounted on consolidation in accordance with IAS 28, Investments in Associates and Joint Ventures.

This level of involvement is reflected by showing the underlying value of the investment in the statement of financial position and the share of profit in the statement of profit or loss.

### (3) Simple investment

Here the investor has no significant involvement in the investee undertaking.

Consequently only amounts paid/payable or received/receivable are reflected in the group accounts.

The cost of such investments is shown in the statement of financial position, while dividend income is reflected in the statement of profit or loss.

## 12.3 Explanation of accounting methods used

### (1) Subsidiary - Impact on statement of financial position

- 100% of the net assets of a subsidiary will be included on a line-by-line basis.
- Intra-group balances will be contra'd out.
- Unrealised profits on intra-group sales of inventory and property, plant and equipment will be removed.
- Goodwill is recognised if the consideration transferred plus the non-controlling interests at acquisition exceeds the fair value of the net assets acquired.
- Consolidated retained earnings will include:

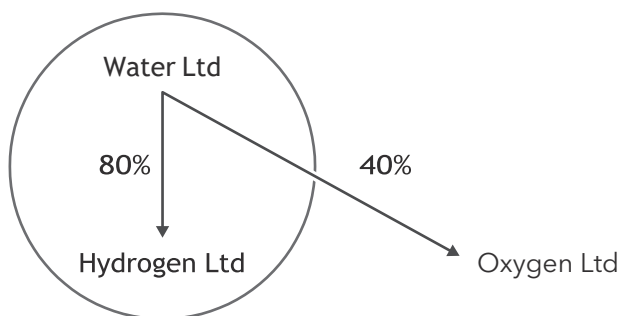
- Parent company's percentage of subsidiary's post-acquisition profits
- Cumulative goodwill impairments to date
- The non-controlling interests will show the value of the net assets included in the consolidated statement of financial position but owned by 'outside' interests.

## (2) Associate – Impact on statement of financial position

- The cost of the investment is increased by the share of the post-acquisition increase in the associate's net assets and decreased by any impairment losses.
- Consolidated retained earnings will include:
  - The investor company's percentage of the associate's post-acquisition profits
  - Cumulative investment impairments to date

### WORKINGS

#### (1) Group structure



#### (2) Fair value of identifiable assets acquired and liabilities assumed Hydrogen Ltd

|                   | Year-end date<br>CU | Acquisition<br>CU | Post-acquisition<br>CU |         |
|-------------------|---------------------|-------------------|------------------------|---------|
| Share capital     |                     | 200,000           | 200,000                | -       |
| Retained earnings |                     |                   |                        |         |
| Per question      | 820,000             |                   |                        |         |
| Less PURP (W6)    | (4,000)             |                   |                        |         |
|                   |                     | <u>816,000</u>    | <u>500,000</u>         | 316,000 |
|                   |                     | <u>1,016,000</u>  | <u>700,000</u>         |         |

#### (3) Goodwill

##### Hydrogen Ltd

|                                                                    | CU               |
|--------------------------------------------------------------------|------------------|
| Consideration transferred                                          | 562,000          |
| Non-controlling interests at acquisition (20% × 700,000 (W2))      | 140,000          |
| Fair value of identifiable assets acquired and liabilities assumed | <u>(700,000)</u> |
|                                                                    | 2,000            |
| Impairment to date                                                 | <u>(1,000)</u>   |
| Balance c/f                                                        | 1,000            |



**(4) Non-controlling interests at year end**

|                                                         | CU             |
|---------------------------------------------------------|----------------|
| At acquisition ( $20\% \times 700,000$ (W2))            | 140,000        |
| Share of post-acquisition ( $20\% \times 316,000$ (W2)) | 63,200         |
|                                                         | <u>203,200</u> |

**(5) Retained earnings**

|                                                    | CU               |
|----------------------------------------------------|------------------|
| Water Ltd                                          | 1,015,000        |
| Hydrogen Ltd ( $80\% \times 316,000$ (W2))         | 252,800          |
| Oxygen Ltd ( $40\% \times (463,000 - 242,000)$ )   | 88,400           |
| Less Impairment losses to date ( $1,000 + 2,000$ ) | (3,000)          |
|                                                    | <u>1,353,200</u> |

**(6) PURP**

|               | %         | CU           |
|---------------|-----------|--------------|
| Selling price | 125       | 20,000       |
| Cost          | (100)     | (16,000)     |
| Gross profit  | <u>25</u> | <u>4,000</u> |

**(7) Investment in associate**

|                                                                                   | CU             |
|-----------------------------------------------------------------------------------|----------------|
| Cost of investment in Oxygen Ltd                                                  | 184,000        |
| Share of post-acquisition retained earnings ( $40\% \times (463,000 - 242,000)$ ) | 88,400         |
|                                                                                   | <u>272,400</u> |
| Impairment to date                                                                | (2,000)        |
|                                                                                   | <u>270,400</u> |